

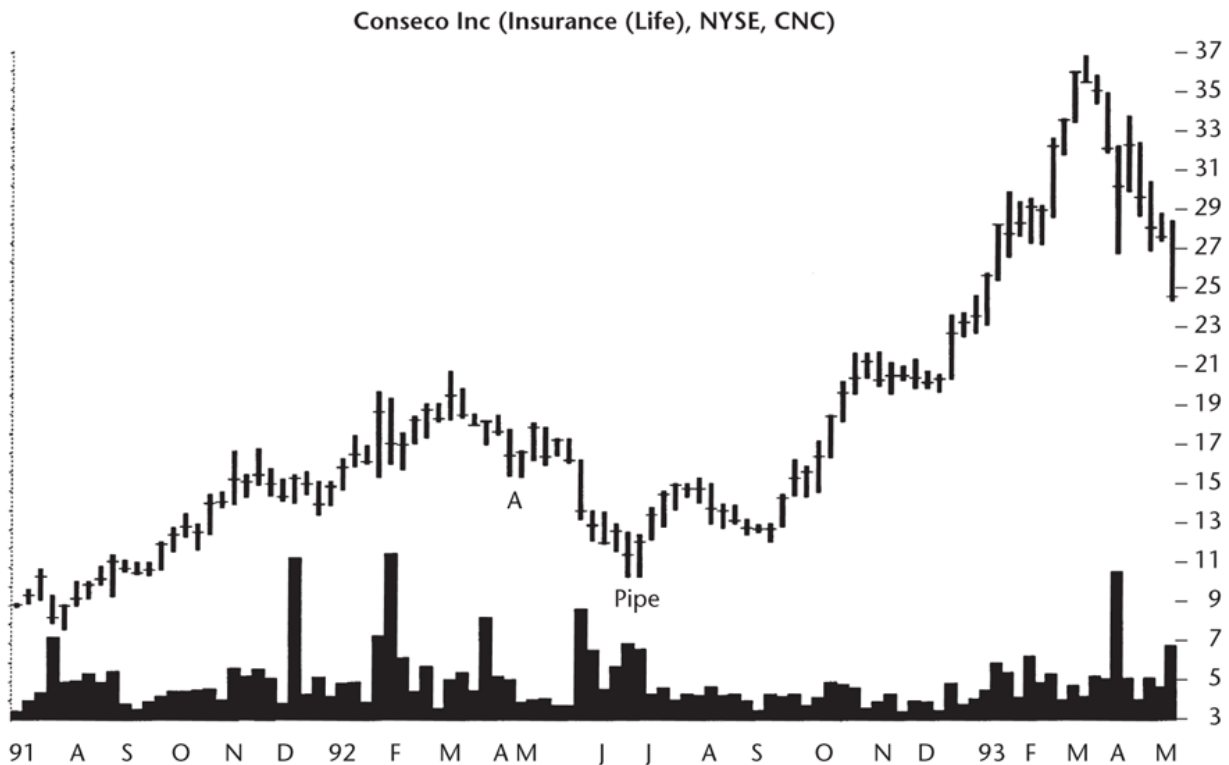


Figure 49.2 A pipe bottom on the weekly chart. Point A is another pipe bottom with less spectacular results.

Large spikes. The pipe spikes should appear as a large price drop and tall price range for 2 weeks in a row. The week before and after the pipe should have low prices near the top of the pipe. This characteristic makes the pipe stand out on the price chart as an easily recognizable pattern.

Think of a hilltop covered with trees. You're looking for two pines, next to each other, which tower well above the others. Flip the image of the hilltop upside-down, and that's what pipes should look like.

For example, the pipe shown in [Figure 49.2](#) has a prior week low of 11.63, somewhat near the left pipe high of 12.56 (certainly well above the low of 10.31). The right side does even better. It sports a low of 12.25, near the right pipe high of 12.50.

Each spike decline (two in the pipe) should be unusual. The length should be well above the average downward spike length over the past year. It must appear as a large decline on the price chart, not just another 2-week blip in a sea of long downward price spikes.